

What is a brokerage firm?

Brokerage firms connect investment buyers and sellers.

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Key takeaways

Brokerage firms act as intermediaries between investment buyers and sellers.

Investing costs and account minimums can vary depending on the brokerage firm and account type.

Fees, ease of use, convenience, and reputation are all factors you can consider when picking a brokerage firm among many that exist.

Investing could help you grow your money, but because investors can't walk into the New York Stock Exchange or Nasdaq to make trades, you likely need a brokerage firm if you want to invest. A brokerage firm makes available to investors a wide range of assets you may want to buy. That could include [stocks](#), [bonds](#), [mutual funds](#), [exchange-traded funds \(ETFs\)](#), and more. And when you want to sell assets, a brokerage firm helps connect you to buyers. Here's what else brokerage firms do and how they work, plus tips for choosing the brokerage firm that's right for you:

What is a brokerage firm?

A brokerage firm—also known as a broker-dealer or investment or stock brokerage—allows investors to buy and sell investments. Beyond allowing you to place trades, brokerage firms do the following.

They ensure secure transactions and safeguard your assets

Brokerage firms use trading software and secure platforms to help protect your cash and assets. All investing comes with risk of losses from market moves, but these safeguards are intended to help minimize theft. Additionally, the Securities Investor Protection Corporation ([SIPC](#)) insures up to \$500,000 in assets in most brokerage accounts, and up to \$250,000 of that can cover cash. This can help protect your investment in the rare event that your brokerage firm goes out of business.

They can provide investment research

Many brokerage firms can offer resources to help investors explore and compare different investments. They might also offer tools like [stock screeners](#) and [mutual fund screeners](#), that could help make a time-intensive research process more efficient.

They offer different investment accounts

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Brokerage firms provide various accounts for various goals. Typically, at a minimum, they offer a taxable brokerage account, which just about anyone could open and use to place trades. These generally offer many investment choices and no contribution limits or withdrawal penalties. There are no tax advantages on the contributions or eligible withdrawals. You could do the buying and selling yourself or invest in a managed account, where a financial professional or robo advisor can make your trades for you.

Some brokerage firms offer tax-advantaged accounts for more specific purposes:

- Qualified education costs, such as college tuition and room and board, with a 529 plan
- Health care expenses with a health savings account (HSA), if you have an HSA-eligible high-deductible health plan
- Retirement with a traditional or Roth IRA

The IRS determines a maximum you can invest in tax-advantaged accounts each year, but you choose how much you want to contribute based on those limits.

They can help simplify account management

Brokerage firms typically have user-friendly websites or apps that offer consolidated views to help you manage your accounts. These platforms can provide a snapshot of your financial picture and help you identify opportunities to buy, sell, and diversify your investments.

How does a brokerage firm work?

When you place an order through your brokerage firm—whether online, on an app, or with a full-service human broker—the brokerage firm does the work necessary to finalize your transaction. Brokerage firms may charge fees or earn a small commission for this service, though many offer low-cost or commission-free trading options.

Types of brokerage firms

There are a few different categories of brokerage firms, and a single firm, especially a large one, may fit the criteria for more than one of these descriptors.

Online brokerage firms

Many full-service investment brokerage firms have online capabilities, but this refers to online-only brokerage firms, which often have no physical location and service investors solely through digital platforms. They are sometimes referred to as discount brokerage firms. They're widely known for easy, on-the-go access, educational tools, and low or no commissions on trades. They may suit DIYers who prefer a hands-on approach to investing.

Full-service brokerage firms

If you are looking for a more robust service offering, a full-service broker dealer, in addition to executing trades, may also provide additional resources like financial planning, access to planning tools, and personalized advice and security recommendations. They may also offer personalized investment management through an affiliate investment advisor.

In any case, they typically command higher fees than online or discount brokerage firms and may also offer a wider variety of investment products and services, including tax, estate, and retirement planning.

How to pick a brokerage firm

There are several steps to consider taking before you choose a brokerage firm to house an investment account. These actions may help ensure you're making the best choice for your needs.

1. Consider fees

Fees can vary widely between brokerage firms and account types. Once you decide on the kind of brokerage firm that suits your needs, shop around and compare account maintenance fees, commission rates, and wire transfer fees. You can also expect to be charged an expense ratio, another kind of fee, if you're investing in mutual funds or ETFs, since those are baskets of investments that a broker puts together and manages.

2. Research account minimums

A brokerage firm's account minimums should be compatible with your budget and income. Some brokerage accounts have no minimums at all, while others may require upward of \$2,500 for certain investments.

3. Check for ease of use

Explore the brokerage firm's app and online account platform. Researching and placing a trade should not be overly complicated. If you struggle to understand what you're seeing, imagine what the learning curve might be if you decide to become a customer.

4. Consider convenience

If possible, consider [Log in](#) consolidating all of your accounts at one brokerage firm. Having all your investments in one place may help you stay organized.

5. Look for extras

If you want guidance or further education, some brokerage firms offer tools and resources that could help, like articles, podcasts, webinars, investment screeners, analyst reports, and investment market news feeds.

Related: Explore [Fidelity's Learning Center](#).

6. Factor in reputation

Consider whittling down your finalists to firms with a solid history and positive reviews that speak to the experience and level of customer service you want. You could also seek recommendations from family and friends you trust.

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